

Veteran-Owned LLC: Federal Certification Requirements & Partnership Structures

Disclaimer: This document is for educational purposes only and does not constitute legal advice.

Consult a business attorney experienced in federal contracting before formalizing any structure.

Federal Designations That Unlock Set-Asides

There are two primary federal designations that provide preferential access to government contracts:

Designation	Full Name	Eligibility
VOSB	Veteran-Owned Small Business	Any honorably discharged veteran
SDVOSB	Service-Disabled Veteran-Owned Small Business	Requires a VA-rated service-connected disability

SDVOSB carries stronger protections — mandatory set-asides rather than mere preferences — and is the most powerful designation for a veteran entrepreneur.

Core Legal Requirements

Governed by **13 CFR Part 125** (SBA) and **38 CFR Part 74** (VA):

1. **51% Ownership** — One or more qualifying veterans must unconditionally own at least 51% of the LLC at all times.
 2. **Highest Officer** — The veteran must hold the highest officer position (Managing Member in an LLC structure).
 3. **Operational Control** — The veteran must control both long-term strategy and day-to-day operations.
 4. **Unconditional Ownership** — The operating agreement must contain no clauses that could reduce veteran ownership below 51% under any condition.
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Gray Areas: Legal Partnership Structures

1. The 49% Non-Veteran Partner — Fully Legal

A non-veteran can own up to **49%** of the LLC outright. Within that stake they can:

- Receive 49% of profits and distributions
- Hold defined operational roles and titles (e.g., COO, Director of Operations)
- Have voting rights on day-to-day business matters

They **cannot**:

- Hold veto power over major decisions
 - Hold the highest officer title
 - Have any provision in the operating agreement that gives them effective control
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2. Silent Investor Structure

A non-veteran provides startup capital in exchange for up to 49% equity but holds **no management authority** in the operating agreement. This is the most common structure for bringing in a non-veteran business partner or outside investor.

The operating agreement must **not** include:

- Negative control provisions (veto rights on hiring, firing, or awarding contracts)
 - Supermajority voting thresholds that effectively require the non-veteran's vote to act
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3. SBA Mentor-Protégé Program — The Strongest Partnership Path

This program is specifically designed to bridge veteran-owned businesses with experienced non-veteran companies. Under it, a **large non-veteran firm** (Mentor) can:

- Own **up to 40%** of a joint venture formed with the veteran-owned Protégé
- Provide business development assistance, technical expertise, and capital
- Bid on SDVOSB set-aside contracts together as a joint venture
- Share in contract revenue proportional to work performed

The joint venture itself can qualify for veteran set-asides as long as the veteran firm leads and manages it. This is how many veteran-owned firms scale rapidly with non-veteran business partners — legally and compliantly.

4. Joint Venture (JV) Agreements

A veteran-owned LLC can form a JV with a non-veteran company to bid on specific contracts. Key rules:

- The veteran-owned entity must be the **managing venturer**
 - Must perform **at least 40% of the work** (percentage varies by contract type)
 - The JV agreement must be SBA-compliant and pre-approved before bid submission
 - A JV can be structured for a single contract or a defined family of contracts
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5. Non-Veteran as Operations or Technical Lead

The veteran must control the business, but can **delegate** day-to-day operational and technical tasks to a non-veteran, as long as:

- The veteran retains documented final authority over major decisions
 - The non-veteran does not hold a professional license the business cannot function without (see Licensing Trap below)
 - The delegation is reflected in the org chart and operating agreement
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6. The Non-Veteran Licensing Trap (Avoid This)

If your business requires a specific license to operate — a contractor's license, a medical license, a CPA license — and a **non-veteran holds that license exclusively**, the SBA may rule the non-veteran has de facto control, disqualifying certification.

Solutions:

- The veteran obtains the required license
 - The business is structured so that no single non-veteran's credentials are indispensable
 - Multiple license holders are on staff
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The Two Verification Bodies

Body	Covers	Notes
SBA (VOSB/SDVOSB Certification)	All federal agencies except VA	Register at SAM.gov; self-certification available
VA Center for Verification & Evaluation (CVE)	VA contracts specifically	Stricter process — may include site visits and deeper document review

For the widest access to contracts, pursue **both** designations. SBA certification is required for most federal agencies; VA CVE certification is required for VA-specific set-asides.

Practical Path Forward

If you have a non-veteran business partner who wants to participate:

Step	Action
1	Veteran owns 51%, partner owns 49% — operating agreement drafted to ensure veteran has unilateral authority over all major decisions
2	Partner compensated via salary, 49% profit share, or consulting agreement — all legitimate and fully documented
3	If partner represents a larger company, explore the SBA Mentor-Protégé Program — enables JV bidding on set-asides together
4	Register on SAM.gov (free, mandatory) and self-certify as VOSB/SDVOSB
5	Apply separately with VA CVE if VA contracts are a target
6	Consult a federal contracting attorney before filing — operating agreement language is where most certifications are rejected

Key Resources

Resource	URL
SBA Veteran Assistance Programs	https://www.sba.gov/federal-contracting/contracting-assistance-programs/veteran-assistance-programs
SAM.gov Registration	https://sam.gov/content/home
VA OSDBU (Office of Small & Disadvantaged Business)	https://www.va.gov/osdbu/
VA CVE Verification	https://veteransmallbiz.va.gov
FAR 19.14 — SDVOSB Rules	https://www.acquisition.gov/far/subpart-19.14
13 CFR Part 125 — SBA Veteran Regulations	https://www.ecfr.gov/current/title-13/chapter-I/part-125

SBA Mentor-Protégé
Program

[https://www.sba.gov/federal-contracting/
contracting-assistance-programs/sba-mentor-
protege-program](https://www.sba.gov/federal-contracting/contracting-assistance-programs/sba-mentor-protége-program)

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